

DECODED EXPLAINED

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A Changing Asia Demands More From Delhi and Tokyo, Together

A changing Asia demands more from Delhi and Tokyo, together



RAJA MANDALA

BY C RAJA MOHAN

JAPANESE DEFENCE Minister Shinjiro Koizumi's visit to India this week comes amid the unfolding transformation of Tokyo's defence and regional security policies. Japan, long reined in by self-imposed military restraint, is adopting a more vigorous national defence policy and an active regional military diplomacy. That Koizumi is coming to Delhi after consultations in Canberra with his counterparts from Australia and New Zealand indicates new directions in security cooperation in the Indo-Pacific. Koizumi's talks in Delhi should help end the current slow and incremental approaches to defence cooperation and outline more ambitious goals for the security partnership.

Driving Japan's new defence policies is the rise of China as a great military power and Beijing's growing political will to translate that power into concrete outcomes. This is a challenge Delhi and Tokyo share as they confront assertive Chinese military policies — on Japan's maritime frontier with China and India's contested land border across the Himalayas. The geography is different, but the PLA's methods are the same. Persistent probing and the slow but definitive alteration of the territorial status quo.

For both Tokyo and Delhi, the challenge from China is magnified by the volatility of American policies. Neither seeks an Asia without America. Japan remains deeply in-

vested in its alliance with Washington, while India sees a continuing American military presence as essential to a stable Asian balance. But Donald Trump's second presidency has reinforced questions about the predictability of American policy and the nature of its regional commitments.

Part of the answer for Delhi and Tokyo lies in strengthening their own national capabilities and deepening partnerships with each other and other Asian powers. Koizumi's itinerary captures the possibilities. Japan's defence partnership with Australia has advanced rapidly. Canberra and Tokyo have expanded military exercises, reciprocal access, logistics and defence industrial cooperation. Australia's decision to acquire Japanese-designed *Mogami*-class frigates marks an important breakthrough for a country that, until recently, imposed extraordinary restrictions on exporting weapons.

India-Japan defence cooperation has also expanded, but remains well behind the political rhetoric about their "Special Strategic and Global Partnership". Koizumi's visit should therefore be an occasion not merely to review bilateral exercises and exchanges, but to ask how Delhi and Tokyo can give their defence partnership much greater operational and technological weight.

The opportunity arises from the extraordinary changes underway in Japan itself.

For much of the post-war era, Japanese strategy rested on a simple bargain. Tokyo concentrated on economic reconstruction while relying on the United States for security. Defence expenditure remained around 1 per cent of GDP, arms exports were tightly restricted, and the Self-Defence Forces operated within narrow political constraints. Those conditions began to change as the China

challenge unfolded. In 2010, China overtook Japan as the world's second-largest economy. Its growing economic resources supported a massive expansion of military capabilities, the consequences of which for Japan soon became evident.

After returning as prime minister in 2012, Shinzo Abe accelerated the effort to adapt Japanese security policy to the new circumstances. As the scale of the China challenge deepened and concerns about American reliability grew, Japan outlined a sweeping set of defence reforms in 2022. One element was a rapid increase in defence expenditure. Tokyo set itself the goal of raising defence-related spending to around 2 per cent of GDP by 2027, but brought forward that target through additional spending last year.

More important has been the change in doctrine. Japan is acquiring long-range "counterstrike" capabilities, including American Tomahawk missiles, while developing longer range indigenous weapons. It is strengthening air and missile defence, cyber and space capabilities, unmanned systems and its capacity to operate farther from the Japanese islands. A parallel revolution is unfolding in defence production. Tokyo is revitalising its defence industrial base, easing restrictions on arms exports and breaking down the old barriers between civilian technology and national security. Japan has also begun providing military equipment to friendly countries through its new Official Security Assistance programme.

Taken together, these changes represent something much larger than a Japanese "rearmament". Tokyo is finally turning to military power, defence technology, arms exports and security assistance as normal instruments of statecraft. Tokyo is also reaching out to South

Korea and other regional neighbours, deepening defence ties with Australia and New Zealand, and strengthening security engagement with Europe. Upgrading defence ties with India is a natural part of this wider strategy. Delhi and Tokyo already have much of the institutional architecture they need: A 2+2 dialogue, a logistics agreement and regular exercises across the three services. Prime Minister Sanae Takaichi's visit to Delhi last month called for more sophisticated exercises, stronger maritime domain awareness and deeper defence industrial cooperation. It also announced the first bilateral defence co-development project, involving the UNICORN naval communications antenna.

But here is the reality check. Defence industrial cooperation has been painfully slow. Delhi and Tokyo need much greater ambition in joint research, development and co-production of weapons and military technologies. Their armed forces must also move beyond exercising together towards greater operational coordination in anti-submarine warfare, maritime surveillance, air defence and logistics. The unfolding transformation of the Asian security environment demands that Delhi and Tokyo do much more together in defence. Japan is demonstrating greater purpose and urgency as it responds to the changing balance of power in Asia. Unlike China, India has long welcomed the prospect of a stronger Japan. It is now time for Delhi to match Tokyo's commitment and enthusiasm in building a consequential Asian defence partnership.

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Shinjiro Koizumi's visit should be an occasion not merely to review bilateral exercises and exchanges, but to ask how both countries can give their defence partnership much greater operational and technological weight

A Changing Asia Demands More From Delhi and Tokyo, Together

- **Japan's Defence Transformation**

- Japanese Defence Minister Shinjiro Koizumi visit to India comes amid the unfolding transformation of Tokyo's defence and regional security policies, with Japan adopting a more vigorous national defence policy after decades of self-imposed military restraint.
- The visit follows his consultations with counterparts in Canberra, and should help end the current slow, incremental approach to India-Japan defence cooperation.

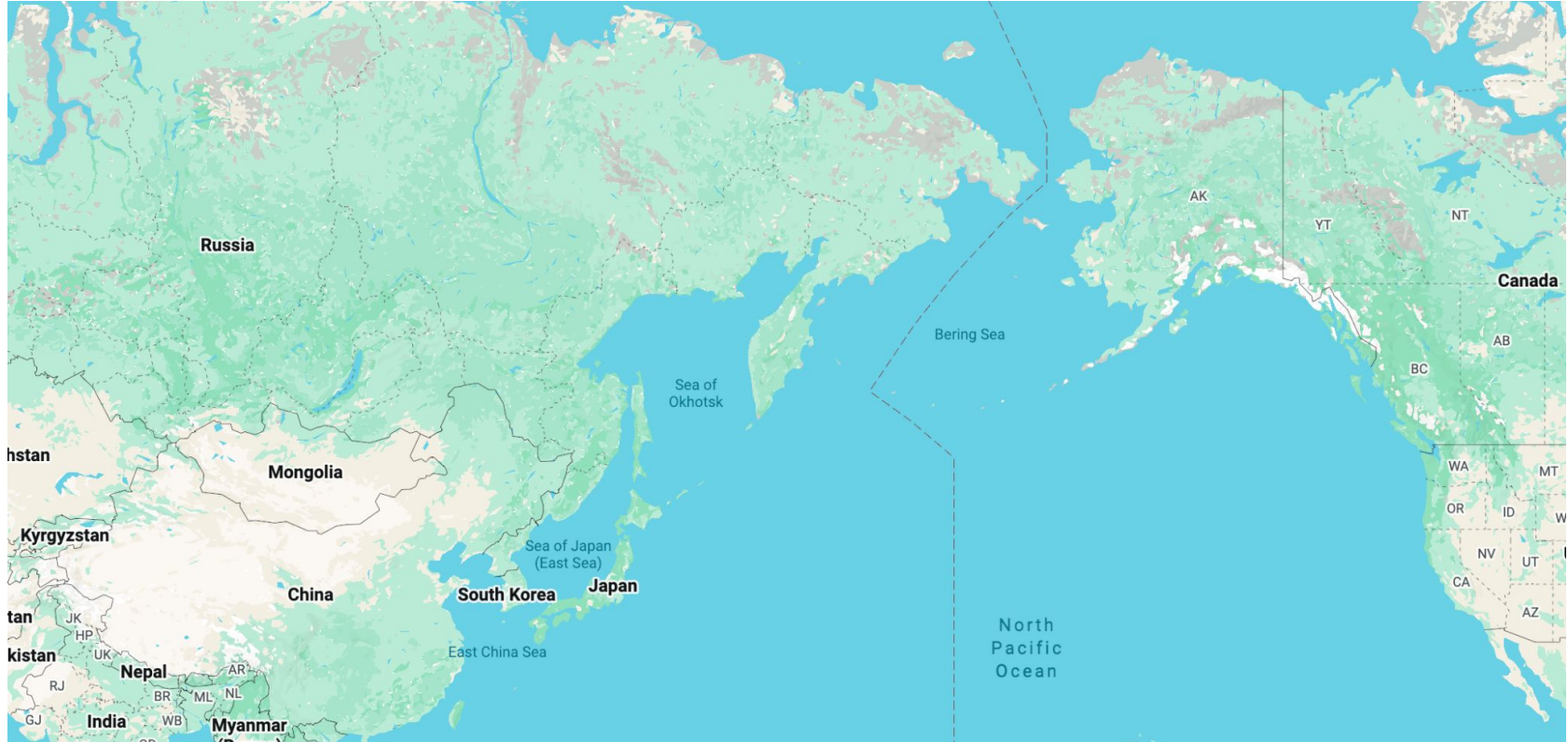
- **Why China Drives the Change**

- The rise of China as a great military power, and Beijing's growing will to translate that power into concrete outcomes, is the central driver of Japan's new defence policies, a challenge Delhi and Tokyo share, given China's persistent probing on both Japan's maritime frontier and India's contested Himalayan border.
- In 2010, China overtook Japan as the world's second-largest economy, and its growing economic resources have supported a massive expansion of military capabilities.

- **India-Japan Cooperation : Institutional but Underweight**

- Delhi and Tokyo already have a 2+2 dialogue, a logistics agreement, and tri-service exercises, yet defence industrial cooperation has been 'painfully slow'.
- Both countries need much greater ambition in joint research, development, and co-production of weapons and technologies.

A Changing Asia Demands More From Delhi and Tokyo, Together



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Location: It is an island nation in East Asia, situated in the Northwestern Pacific Ocean.

Maritime borders: It is bordered by the Pacific Ocean (East), Sea of Okhotsk (North), Sea of Japan (West East) and East China Sea (Southwest).

Capital City: Tokyo.

Main Islands (north to south): Hokkaido, Honshu (Tokyo and Fukushima is here) , Shikoku, and Kyushu.

Conflicts

- **Kuril Islands** : Dispute with Russia
- **Senkaku Diaoyu Island** : Dispute with China
- **The Liancourt Rocks, known in Korea as Dokdo and in Japan as Takeshima** : Dispute with Korea



A Changing Asia Demands More From Delhi and Tokyo, Together

24] The standard time of the following countries is ahead or behind Greenwich Mean Time depending on whether they are east or west of the longitude passing through Greenwich: [1995]

- I. Cuba
- II. Greece
- III. Iraq
- IV. Costa Rica
- V. Japan

Which one of the following sequential orders gives the correct arrangement of the countries according to their standard time from ahead to behind GMT?

- a) V, III, II, I, IV
- b) II, IV, I, III, V
- c) IV, I, III, II, V
- d) III, V, IV, I, II

A Changing Asia Demands More From Delhi and Tokyo, Together

Which one of the following statements best reflects the issue with Senkaku Islands, sometimes mentioned in the news?

This question was previously asked in

**UPSC Civil Services Exam Official
2022 Prelims General Studies...**

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1. It is generally believed that they are artificial islands made by a country around South China Sea.
2. China and Japan engage in maritime disputes over these islands in East China Sea.
3. A permanent American military base has been set up there to help Taiwan to increase its defence capabilities.
4. Though International Court of Justice declared them as no man's land, some South-East Asian countries claim them.

A Changing Asia Demands More From Delhi and Tokyo, Together

Which of the following countries are claiming territorial rights over the Kuril Islands?

1. China and Vietnam
2. Japan and China
3. Japan and Russia
4. Myanmar and Thailand

PM CARES Donations Have Dropped, and Utilisation Is Abysmal

PM CARES donations have dropped, and utilisation is abysmal

The corpus of PM CARES grew by 26% in two years despite drop in donations due to accrual of interests. However, utilisation of the funds has reduced

DATA POINT

Pon Vasanth B.A.

The audited financial statements of the Prime Minister's Citizen Assistance and Relief in Emergency Situations (PM-CARES) Fund, released for the financial years of 2023-24 and 2024-25 after a delay of two years, showed that donations had dropped and the utilisation of available funds was abysmally low. The corpus grew by 25.8% between 2022-23 and 2024-25 from ₹6,722 crore to ₹8,453 crore. However, in the same period, the utilisation dropped from ₹437.9 crore to just ₹87.5 lakh, which was 10,000 times smaller than the available corpus (Chart 1). The money flowing into funds through donations and interests from corpus far exceeded the money disbursed since 2022-23 (Chart 2).

Moreover, "refunds" from "implementing agencies" were far higher than the money utilised (Chart 3). Neither the details of these implementing agencies nor the purpose for which the refunded money was originally allotted has been made available.

Additionally, donations have also dropped sharply. The growth in the corpus was mainly due to earnings through interests. In 2024-25, the income received through interest payments (₹475 crore) was almost the same as donations (₹480 crore) (Chart 4). The sharp increase in interests' income could be attributed to the Union government moving the corpus from savings account to fixed deposits in 2023-24 (Chart 5).

Ever since its creation as a public charitable trust in March 2020, PM-CARES has come under criticism for its lack of transparency, refusal to share information, and inordinate delays in releasing financial statements. The prolonged delay (Chart 6) in the release of statements coincided with the Centre changing the auditors.

Transparency deficit

The delays in the release of financial statements were calculated using Internet Archive and the metadata available in the official website of PM-CARES Fund

CHART 1: While the corpus of the PM-CARES Fund continued to grow, the utilisation has dropped sharply after COVID-19 pandemic (values in ₹ crore)

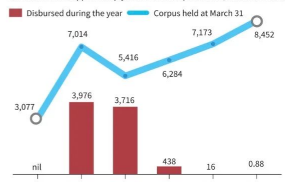


CHART 2: Since 2020-23, the money flowing into the fund has far exceeded the money disbursed (values in ₹ crore)

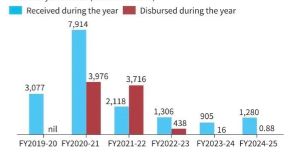


CHART 3: In 2023-24 and 2024-25, the money refunded by "implementing agencies" was much higher than the money utilised (values in ₹ crore)

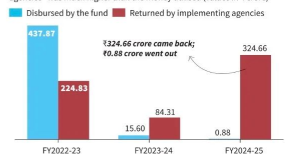


CHART 4: Donations to PM-CARES Fund has considerably reduced. In 2024-25, the income through interests' was almost the same as the donations received



CHART 5: In 2023-24, the government moved the corpus from savings accounts to fixed deposits, which was the likely reason for increase in income through interests

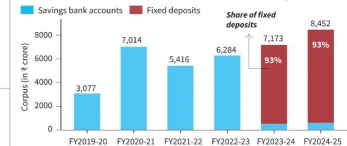


CHART 6: The table shows the delays in the release of audited financial statements. The last two were approved together by auditors

Financial year	Date published	Delay (days)
FY2019-20	Aug 19, 2020*	141
FY2020-21	Feb 8, 2022	314
FY2021-22	Nov 1, 2022*	215
FY2022-23	Dec 28, 2024	638
FY2023-24	Aug 17, 2026	869
FY2024-25	Aug 17, 2026	504

PM CARES Donations Have Dropped, and Utilisation Is Abysmal

- **The Prime Minister's Citizen Assistance and Relief in Emergency Situations Fund (PM CARES Fund) is a dedicated national public charitable trust set up to provide assistance, emergency relief, and rehabilitation during public health crises, natural calamities, or man-made disasters.**
- **Established On: Registered on March 27, 2020, under the Registration Act, 1908 in New Delhi.**
- **Constituted in the wake of the global COVID-19 pandemic to create a specialized, flexible national corpus for healthcare infrastructure augmentation, indigenous medical research, and direct financial relief for affected citizens.**
- **Chaired by the Prime Minister of India (ex-officio), with the Ministers of Defence, Home Affairs, and Finance as ex-officio trustees, alongside eminent nominated trustees who serve entirely in a pro bono capacity.**
- **Operates without any budgetary allocations from the Government of India, relying entirely on voluntary contributions from individuals, organizations, and public/private entities.**
- **100% Tax Exemption Under Section 80G**
- **Corporate Social Responsibility (CSR) Eligibility**
- **FCRA Exemption for Global Inflows**

PM CARES Donations Have Dropped, and Utilisation Is Abysmal

With reference to the PM CARES Fund, consider the following statements:

I. The amount collected by it directly goes to the Consolidated Fund of India.

II. It can avail donations from the foreign contribution and donations to fund can also avail 100% tax exemption.

Which of the above statements is/are correct?

This question was previously asked in

AFCAT 27 Aug 2022 (Shift 1)
Memory Based Paper

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1. I only
2. II only
3. Both I and II
4. Neither I nor II

What Drives Corporate Investment?

What drives corporate investment?

Corporate investment as a share of GDP in India has declined sharply since demonetisation, with the fall persisting despite tax cuts and a low-interest-rate regime. Smaller firms face higher interest costs, while larger firms are constrained by demand; reviving investment requires govt. expenditure to push profitability up

ECONOMIC NOTES

Robit Anand
Indrajit Choudhury

Corporate investment, as a share of GDP, has been declining in India for some time now (Chart 1). The trend raises an important question: what explains this prolonged decline?

A few things stand out in Chart 1. Corporate investment in India fell in 2001, when it jumped almost four percentage points, from 15% to 19.2%. After rising during the decade of India's growth story, it fell during the financial-meltdown of 2008-09, to begin a steady revival till demonetisation hit the economy in 2016 (marked by a vertical line in the chart). Since then, the decline has been steeper. So much so that the share has not even returned to the low levels during the GFC (see the horizontal dashed line).

The low point is the most damning. The global economic crisis was an external shock beyond India's control, whereas demonetisation was a self-inflicted shock. So, because, there was another external shock - Covid - in 2020-21, but the decline in investment had started a few years earlier.

What determines investment?

Think of building a factory. A factory has a long life, so you need to take many things into account over its lifetime before committing to building one. What are the factors that may influence this decision? The three most important factors are likely to be: the expected profitability from selling the good the factory produces; the confidence with which you can produce; and the cost of credit, especially in the event of a downturn, when your own available funds, needed to hold the factory in the new phase, the story becomes even more interesting when we bring in firms of different sizes because who contrains investment across firm size. Let us see how.

As for the first factor, most industries have economies of scale. Larger equipment, factories, and workspaces have higher profit rates compared to their smaller counterparts. This, expected profitability rises with the size of investment, as shown by the upward-sloping portion of the profitability curve in Graph 1. However, each firm has an upper limit to how much it can sell and, consequently, an upper limit to the size of the factory, represented by the vertical portion of the profitability curve in Graph 1. If a manager were to state given that the firm cannot cover the sales by its share in the total market.

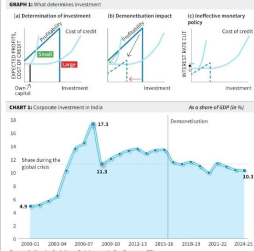
The second factor - the confidence with which a firm holds these expectations - determines the position of the profitability curve. A high level of confidence, what John Maynard Keynes called 'animal spirits', means the profitability curve would be upward and the more the confidence, the more optimistic about the future. At an economy-wide shock of demonetisation public profitability curve moved across the board (dashed blue curve in part (a) of Graph 1) with both immediate profitability declined and because the credibility of future price steps became suspect. This fall may be so sharp that a profit-maximising firm below the cost of credit curve altogether, facing



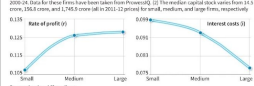
Source: IMF

The investment slump

Corporate investment in India as a share of GDP has been declining since demonetisation. What explains the prolonged downturn?



Source: Authors' calculations, based on Indian factories, 2001-2020



Source: Anand and Choudhury

them out of business - exactly what happened to many MSMEs during the period.

The third factor - interest rates - could matter for two different reasons. First, a

What is needed is to push the profitability curve outward, which would increase investment by both small and large firms. This can be achieved only if government expenditure acts as an autonomous stimulus.

be higher than the market rate of interest. Second, if a firm has to borrow from the market to invest, the cost of credit will rise. This cost is likely to rise as firms take on more loans in proportion to the funds they are committing to the project, so as to avert going for their own capital, the cost curve may be less steeply upward sloping. This is the principle of increasing risk, was proposed by Michael Finkelstein, which means the system is rigid against small capital, even when small and large capital have the same blip of a technology, access to credit, a price, larger more capital.

Does size matter?

What is interesting in this story is that for the smaller firms with very low levels of own capital, the cost curve starts rising way sooner than the larger firms and may cut the upper portion of the profitability curve (part (a) of Graph 1). Investment for such firms, therefore, may be constrained by the availability of credit. Interest costs, therefore, would be quite high for such firms. For the larger firms, their own capital may be so high that the cost curve cuts the profitability curve on its vertical portion (part (b) of Graph 1). Such firms are likely to be the market leaders of finance. Interest costs may not be consequential.

Chart 2 shows that such a broad segmentation across size, by and large, holds for the Indian manufacturing sector. We have compiled a 10-year period data set of listed firms in the 2010-2020 from the Prowess dataset and categorized them in three sizes - small, medium, and large. Smaller firms have lower profitability but higher interest costs, whereas the larger firms have higher profitability but lower interest costs, as expected in Graph 1.

What does this mean for investment?

With asymmetric interest rates for different sizes has some interesting implications. First, a fall in the rate of interest may not revive investment among smaller firms (dashed yellow line in part (a) of Graph 1). For a large firm, which is not constrained by credit in the first place, such a policy would have no impact. Cost-side policy interventions, including tax cuts, may not have much expansionary impact on investment. This may help explain why corporate investment has not responded despite the corporate tax cut from 30% to 25% in 2019, along with the low-interest-rate regime followed by the RBI.

What is needed instead is to push the profitability curve outward, which would increase investment by both small and large firms. This can be achieved only if government expenditure acts as an autonomous stimulus. It can be done by increasing demand, which would mean giving up on being a fiscal hawk and instead indulging in the profit-protecting on the streets asking for painful (The authors are a part of the IvoXo (Developing Macroeconomic) network, which seeks pluralism in Economics).

THE GIST

Corporate investment as a share of GDP has declined sharply since demonetisation, adding to the decline seen during the Global Financial Crisis. The decline began before the Covid shock.

Investment depends on expected profitability, confidence in future returns, and the cost and availability of credit, with smaller firms facing higher financing constraints than larger firms.

Lower interest rates or tax cuts may not revive investment if firms face demand, stronger government spending could instead boost demand, push profitability higher and encourage investment across firms.

Corporate investment = how much companies spend on building factories, buying machines, expanding capacity, etc. Economists measure this as a share of GDP (i.e., what % of the country's total output is companies putting back into building more capacity).

What Drives Corporate Investment?

The History

- 1. 2000-01 to 2003-04:** Low and flat (~4.9%) : Investment was low and sluggish
- 2. 2004 to 2007-08:** The big boom (jumps to 17.3%) : This was India's famous "growth story" era, investment nearly quadrupled, jumping almost 11 percentage points. Companies were confident, expanding aggressively.
- 3. 2008-09:** The Global Financial Crisis (GFC) hits : A global shock (originating in the US, unrelated to India's own policies) causes investment to crash down to 11.3%.
- 4. 2009-10 to 2015-16:** Steady recovery : After the GFC, investment climbs back up again, hovering around 13-13.5%
- 5. 2016: Demonetisation :** After this, investment starts a long, unbroken decline, no more ups and downs, just a steady fall.
- 6. Present day: 10.3% :** Investment is now below even the GFC-crisis low of 11.3%.

What Drives Corporate Investment?

Government has tried two classic fixes to boost investment:

Tax cuts (corporate tax cut from 30% to 22% in 2018)

Low interest rates (cheaper loans from RBI)

Issues

Small firms: their biggest problem is expensive credit

Large firms: their biggest problem is demand

Way ahead

Autonomous Expenditure by -----

\$5-bn Success Story, and Growing: Buffalo Meat Exports Surge

\$5-bn success story, and growing: Buffalo meat exports surge

• India's buffalo meat shipments

\$5.1 billion: Value of buffalo meat exported in FY26



Harish Damodaran
New Delhi, August 18

WHAT IS India's best-performing agricultural export item?

The answer is buffalo meat, shipments of which surged by 25.6% to \$5.1 billion in 2025-26

Year-wise exports



Source: Department of Commerce

(April-March). The current fiscal has seen further growth, a whopping 66.6% from \$896.8 million in April-June 2025 to nearly \$1.5 billion in April-June 2026.

"We crossed \$5 billion for the first time last fiscal and are

»CONTINUED ON PAGE 2

\$5-bn success story

on track to do \$6 billion-plus in 2026-27," said a Commerce Ministry official.

But it's not just overall value increase. More impressive is the value realisation per tonne. In 2014-15, India exported 14.8 lakh tonnes (lt) of buffalo meat worth \$4.8 billion, translating into an average value of \$3,240 per tonne. The subsequent years until 2023-24 recorded a drop in the value as well as quantity of exports (see charts), and average realisations to \$2,700-3,000 levels.

The revival started in 2024-25, when exports touched \$4.1 billion at a unit value of \$3,236 per tonne. The latter number rose to \$3,591 in 2025-26 and \$4,392 during April-June 2026.

The higher unit value realisations indicate improved product acceptability of Indian buffalo meat. This has been enabled by government policy, allowing exports only from plants registered by the Agricultural and Processed Food Products Export Development Authority (APEDA) that is conditional upon their meeting stringent safety, hygiene and infrastructure requirements. We also ensure ongoing compliance through periodic and surprise inspections," the official explained.

India has 83 APEDA-approved integrated abattoirs-cum-meat processing plants that can handle between 500

and 2,000 large animals (buffaloes) each daily. In addition, there are five standalone slaughterhouses and 10 meat processing plants registered by APEDA for export purpose.

Market widening and deepening

"In the last couple of years, we have consciously worked at making Indian buffalo meat a global brand and not a number two alternative to cattle beef. The world, too, is recognising our product quality and safety standards," said Fauzan Alavi, secretary of the All India Buffalo and Sheep Meat Exporters Association.

This is reflected in Indian buffalo meat being previously exported at \$3,000 per tonne versus \$5,000 for Brazilian beef. That gap has since been reduced to \$500-700 per tonne.

India is the world's third largest bovine meat exporter. Its projected volume of 17 lt in carcass weight equivalent for 2026 is next to Brazil's 42.81 lt and Australia's 21.6 lt, as per the US Department of Agriculture data. The country's top three exporters are the Mumbai-based Allansons Private Ltd, the Abu Dhabi-headquartered LuLu Group-owned Fair Exports India, and HMA Agro Industries, Agra.

Indian buffalo meat, also called carabeef, is widely used for processed industrial foods

such as sausages, burger patties, emulsified nuggets, canned and ready-to-eat products. But there's a concerted attempt now at boosting value realisation by selling more through retail channels— including in 1-kg or less consumer packs, as against 20-30 kg bulk frozen blocks.

APEDA has, since October 29, 2025, been imposing a Rs 250/tonne levy on exports of all frozen and chilled buffalo meat. The proceeds go towards a Meat Export Development Fund, similar to the one created for basmati rice in 2008.

"The fund is meant for promoting exports, both to new and existing markets. It covers activities from sponsoring trade delegation visits and international buyer-seller fairs, to addressing non-tariff barriers restricting market access," the Commerce Ministry official said.

That these efforts are bearing fruit is borne out by the diversification of export destinations.

In 2014-15, 45% of India's \$4.8 billion buffalo meat exports went to Vietnam (\$2.2 billion), followed by Malaysia (\$422.9 million), Egypt (\$422.3 million), Thailand (\$393.4 million), Saudi Arabia (\$259 million), United Arab Emirates (\$130.8 million), Algeria (\$125.1 million) and Philippines (\$115.8 million).

Cut to 2025-26, when out of the total \$5.1 billion, 10 countries imported over \$100 million worth each: Vietnam (\$933.9 million), Egypt (\$725 million), Malaysia (\$654.1 million), UAE (\$444.2 million), Saudi Arabia (\$359.3 million), Uzbekistan

(\$307 million), Indonesia (\$301.3 million), Iraq (\$300.1 million), Philippines (\$176.6 million) and Jordan (\$105.5 million).

"Uzbekistan is a new market. So are others that have become significant buyers: Russia (\$97.5 million), Georgia (\$70.5 million), Oman (\$82.7 million) and Senegal (\$70.9 million)," the official noted.

Supporting the dairy economy

The success story of buffalo meat exports isn't limited to market expansion leading to higher unit value realisations. It also ticks all the right boxes with respect to India's livestock economy and its dairy farmers.

India doesn't permit export of beef (cattle meat). Even export of carabeef is limited to buffaloes that don't produce enough milk after around five calvings/lactations (when they would be 8-9 years old), are infertile, have damaged udders or happen to be male. For farmers, maintaining them is uneconomical, in terms of diverting fodder, feed, water and labour resources away from bovines giving milk.

By providing a market for unproductive animals, the meat export industry has been complementary to dairying. A buffalo weighing, say 400 kg, yields roughly 125 kg of meat, with bones, hide, edible and non-edible offals, blood, horns, hooves and undigested food/ingesta constituting the rest.

Taking an average boneless meat yield of 100 kg, the 14-15 lt export annually would entail

culling of 1.4-1.5 crore animals. Given India's total buffalo population of 11 crore (2019 Livestock Census), it allows farmers to systematically replace their low-yielding/aging animals with high-milking/youngstock. The recommended herd turnover ratio for commercial dairy cattle is, in fact, 25-30%.

"In Brazil, Australia or US, beef cattle compete with dairy cattle for scarce resources. In India, we have no such competition because cattle and buffaloes aren't raised specifically for meat. Only non-milk-yielding buffaloes are culled, which is actually beneficial to the dairy sector," an industry source pointed out.

The purchase price that abattoirs pay for buffaloes is based on carcass yield — basically the weight of meat and bones. This is usually 47-48% of live weight, working out to about 190 kg for a 400-kg buffalo. The going rate for animals delivered at plants in Uttar Pradesh today is Rs 300-320 per kg of carcass weight. On 190 kg, that adds up to Rs 57,000-60,800.

For a dairy farmer, a 3.5-4-year-old, first-time lactating buffalo capable of producing 2,000 litres of milk or more annually costs Rs 1.25-1.5 lakh. If the farmer realises Rs 50,000 for a spent buffalo, it can cover at least a third of the cost for a new productive animal. The meat industry, thus, adds to the viability of the dairy enterprise, by making it possible to regularly replace older buffaloes with fresh stock.

FULL REPORT ON
WWW.INDIANEXPRESSIONS.COM

\$5-bn Success Story, and Growing: Buffalo Meat Exports Surge

- **The Success Story**

- India's buffalo meat exports surged 25.6% to \$5.1 billion in 2025-26, making it India's best-performing agricultural export item; growth has continued, up 66.6% in April-June 2026 over the same period last year.
- India is the world's third-largest bovine meat exporter after Brazil and Australia, with a projected 2026 volume of 17 lakh tonnes (carcass weight equivalent).

- **Rising Value Realisation**

- Unit value has risen sharply: from \$3,240 per tonne in 2014-15 to \$3,591 in 2025-26 and \$4,392 in April-June 2026 reflecting a shift towards value-added, retail-packaged products rather than bulk frozen blocks.

- **Market Diversification**

- Export markets have diversified: Vietnam remains the largest buyer (\$933.9 million), followed by Egypt, Malaysia, UAE, Saudi Arabia, and newer markets like Uzbekistan, Russia, Georgia, Oman, and Senegal.

- **The Dairy Sector Connection**

- The meat export industry is complementary to dairying: only unproductive, non-milk-yielding buffaloes are culled, giving farmers a market for animals that would otherwise be an economic burden.
- By providing farmers roughly ₹50,000 for a spent buffalo, the industry helps cover a third of the ₹1.25-1.5 lakh cost of a new buffalo.

\$5-bn Success Story, and Growing: Buffalo Meat Exports Surge

- **It is a statutory body established by the Government of India under the Agricultural and Processed Food Products Export Development Authority Act in December, 1985.**
- **Nodal Ministry: It works under the Ministry of Commerce and Industry.**
- **Objective: To develop and promote the export of scheduled products.**
- **APEDA is headed by a Chairman appointed by the Central Government.**
- **Headquarters: New Delhi.**

Bihar's Alcohol Ban Has Been a Success for Social Wellness, Data Show

Bihar's alcohol ban has been a success for social wellness, data show

The authors of a new report have argued that Bihar's ban on alcohol has not really led to a drop in violence against women and that the ban has cost the State valuable revenue; these contentions are incorrect and incomplete as the crime data do not cover all violence; often, only severe violence is reported as crime

Siddhesh Zadey

Recently, a report titled "Macro Perspective of Bihar's Development Achievements, Unfinished Agenda, and the Way Forward" presented at the India Policy Forum 2026 received widespread media attention. While it is a good and timely report, one of the recommendations it makes is flawed from public health and social development perspectives: that the State of Bihar should lift its alcohol ban.

To this end, the report's authors have argued that the ban has not really led to a decrease in violence against women and that the ban cost the State valuable revenue. However, these contentions are incorrect and incomplete, respectively.

Caution with crime data

On the first, crime data from the National Crime Records Bureau are often used as a proxy for the most severe forms of violence against women. For the report, the total number of crimes reported against women has increased over the years in Bihar and that this rise is not punctuated by the alcohol ban. However, the crime data do not cover all violence. Often, only severe violence is reported as crime. Instances of violence perpetrated by family members, friends, and those close to the victim in the community are also rarely reported. As a result, several instances of violence are unsupported in this data.

While useful, crime data should also be used with caution. An increase in the total number of crimes reported against women can be explained by well-known secular improvements in crime reporting in India, to stigmatisation, to public awareness, to better legal aid, and to efforts by the law enforcement. A rise in reporting is not synonymous with there being more crime against women per se.

Using a blanket outcome such as the total number of crimes against women is also problematic. Only certain crimes can be tied to alcohol use among violent perpetrators. An appendix figure in the report also shows that the incidence of rape in fact decreased or somewhat flattened out after the alcohol ban, especially until 2020, when the COVID-19 pandemic began. To understand policy effects, specific outcomes tied to how the policy is intended to act will be better than blanket outcomes.

Assessing a ban on evidence generation and synthesis involve description, association, and causation. While descriptive evidence helps allocate resources and association helps identify patterns, neither can drive policy action, especially for interventions.



Former Bihar Chief Minister Nitish Kumar looking at a poster during the Non-Alcohol Prohibition Day function in Patna. PXL 590

Ideally, causal evidence should drive policy action. Well-conducted quasi-experimental studies designed to answer that question – e.g. "how much did the alcohol ban reduce violence against women?" – would be the way to go. An emerging body of literature on how the ban has affected violence also includes a couple of quasi-experimental evaluations with better validity for causal claims. This literature supports two important conclusions.

First, the majority of these studies indicate that since the ban, intimate partner or spousal violence against women has decreased substantially in Bihar compared to decreases in other States in the same period, after accounting for several factors that could influence this relationship. One of these studies, in *The Lancet Regional Health* in 2024, concluded that the ban had prevented more than 21 lakh cases of violence. While there might be some differences with respect to the extent of reduction across physical, sexual, and emotional violence recorded by different studies, the reduction in intimate partner violence overall is clear.

Second, there is a limited number of studies investigating the effects of bans on crime outcomes. That said, the sole peer-reviewed quasi-experimental study on the topic, published in mid-2024, noted a significant drop in the number of assaults on women. More and better research is certainly required to tie the alcohol ban to crime outcomes.

Health economic evaluations of the Bihar alcohol ban are key and are currently missing; the social value of losses has been estimated to be more than three-times the economic gains from alcohol excise taxes

Studies have also assessed the effects of the ban on non-communicable disease outcomes such as hypertension, diabetes, and obesity and have found substantial reductions among men. The aforementioned *The Lancet* study also noted that the ban prevented 8 lakh cases of overweight/obesity among men. Taken together, the current quasi-experimental epidemiologic literature does not support the claim that the ban has not worked.

Disfranchising binary Further, the argument about lost State revenue is based on an incomplete assessment. The losses worth "48% of the State revenue" need to be balanced against the medium- and long-term economic gains to society from better population health, safety, and wellbeing.

Health economic evaluations of the Bihar alcohol ban are key and are currently missing, although a 2020 estimate in the *International Journal of Drug Policy* estimated that alcohol use in India is associated with "an average loss of 1.45% of the gross domestic product per

year to the Indian economy", or around 690 lakh crore, after adjusting for tax receipts. The social value of losses has also been estimated to be more than three-times the economic gains from alcohol excise taxes.

Even if the ban is to be lifted, doing so must not undo the health and social benefits it has achieved. The more relevant question to ensure this is: over the last 10 years, have mental health and addiction services scaled up, public education and awareness increased, and employment and educational opportunities expanded?

Most importantly, "ban" or "no ban" are not the only policy alternatives. The last 70 years of alcohol research worldwide, endorsed by all major clinical and public health organisations, including the World Health Organization, suggest a veritable menu of alcohol control policy options. Policies that restrict alcohol availability, such as rationing systems, could be a safer intermediate step, to be complemented with policies to control access, economics, and education. In other words, instead of debating lifting the ban, the focus should be on considering whether other, less restrictive and enforceable policy options will be better.

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THE GIST

The report titled "Macro Perspective of Bihar's Development Achievements, Unfinished Agenda, and the Way Forward" recommends lifting the alcohol ban in Bihar; however, its contentions are incorrect and incomplete

A majority of studies indicate that since the ban, intimate partner or spousal violence against women has decreased substantially in Bihar compared to decreases in other States in the same period

The losses worth "48% of the State revenue" need to be balanced against the medium- and long-term economic gains to society from better population health, safety, and wellbeing

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- **Article 47 :**

- Duty of the State to raise the level of nutrition and the standard of living and to improve public health**

- The State shall regard the raising of the level of nutrition and the standard of living of its people and the improvement of public health as among its primary duties and, in particular, the State shall endeavour to bring about prohibition of the consumption except for medicinal purposes of intoxicating drinks and of drugs which are injurious to health.